Grifols: Secured 2030s or Unsecured 2028s?

Investment Research Portfolio · Project 3 · High-yield credit memo · Grifols, S.A. (GRF SM) · 7 October 2026 (settlement 9 October 2026)

Recommendation

> **Overweight the €1.4bn 3.875% senior unsecured notes due October 2028; Underweight the €1.3bn 7.125% senior secured notes due May 2030.** Following the brief's rule, the unsecured notes offer the higher expected return by 200bp (5.28% vs 3.28%). In the brief's recovery case (downside 2028 EBITDA × 6.0x) both bonds recover 100%, so expected losses are zero and the comparison comes down to yield. The secured notes have a 7.125% coupon but trade above their call price: at 104.10 their yield-to-worst is 3.28% to the May 2027 call at 102. The unsecured notes at 97.47 yield 5.28% to maturity. Two caveats matter. First, the secured price is a stale TRADEcho print from 19 June 2026, because the notes do not trade on a German exchange. The call would only flip below a secured price of 102.83. Second, the call depends on recovery: below 4.55x EBITDA the unsecured notes start to lose principal and the secured notes win.

- **Credit is improving.** Credit-agreement leverage fell from 7.1x (2022) to 4.2x (LTM June 2026). The April 2026 refinancing pushed all bank debt to 2032–2033, and liquidity is €2,030m. S&P upgraded Grifols to BB- (stable) in December 2025, and Moody's (B1) has a positive outlook.
- **The 2028s can be refinanced, or simply repaid.** Our base case puts leverage at 2.9x at the October 2028 maturity and our downside case at 3.5x. Cash, the undrawn revolver and projected free cash flow cover the €2,019m due 1.8x in the base case and 1.5x in the downside. The revolver's springing maturity (mid-July 2028) forces the issue early, which helps holders.
- **Most of the secured coupon cannot be earned.** Grifols has already used the call: it redeemed €500m of the 7.5% 2030 notes at 104 in May 2026. The 7.125% notes become cheaper to call at 102 in May 2027 and at par in May 2028. Their 5.92% yield to maturity is not available to a buyer at 104.10.

1. Capital structure at 30 June 2026

Grifols makes plasma-derived medicines (immunoglobulins, albumin, alpha-1) and diagnostics. Revenue was €7.5bn in 2025. The plasma business is capital-heavy: Grifols operated over 400 plasma collection centres at end-2025, and inventory turnover was 309 days at end-2023 (20-F 2025). The debt stack below is taken from the H1 2026 interim report, after the 14 April 2026 refinancing (new USD 2.0bn and €1.25bn term loans due 2033, a USD 2.065bn revolver due 2032, and the repayment of the 2019 notes) and the May 2026 partial redemption of the 7.5% notes.

Instrument	Amount (EUR m)	Coupon	Maturity	Security	Price	Yield-to-worst	Price source
Revolving credit facility (USD 2,065m)	351	SOFR + 2.00%	2032-10-14	Senior secured	–		not quoted
Term Loan B (USD 1,995m)	1,751	SOFR + 2.50%	2033-04-14	Senior secured	–		not quoted
Term Loan B (EUR)	1,250	Euribor + 3.00%	2033-04-14	Senior secured	–		not quoted
7.500% senior secured notes	800	7.500%	2030-05-01	Senior secured	104.25	1.28%	TRADEcho via finanzen.net, 19 May 2026
7.125% senior secured notes	1,300	7.125%	2030-05-01	Senior secured	104.10	3.28%	TRADEcho via finanzen.net, 19 Jun 2026
3.875% senior unsecured notes	1,400	3.875%	2028-10-15	Senior unsecured	97.47	5.28%	Börse Frankfurt, 7 Oct 2026
4.750% senior unsecured notes (USD 705m)	619	4.750%	2028-10-15	Senior unsecured	–		not quoted
Other loans	125	various	various	Unsecured	–		—
Other financial liabilities (mainly GIC agreement)	835	—	—	Unsecured	–		—
Lease liabilities (IFRS 16)	1,045	—	—	Leases	–		—

Table 1. Capital structure at 30 June 2026. Cash was €513m, so net financial debt as per the credit agreement was €7,798m and net secured debt €4,939m (2.7x). Ratings: S&P BB- (secured BB-, unsecured B); Fitch BB- (BB+ / B+); Moody's B1 positive (Ba3 / B3). Prices for the 2030 notes are stale TRADEcho prints, the 2028 euro notes are quoted on Börse Frankfurt (whose yield, 5.28%, matches ours), and the other instruments have no free quote.

2. Credit metrics, 2019 – LTM June 2026

EUR m	2019	2020	2021	2022	2023	2024	2025	LTM Jun-26
Revenue	5,099	5,340	4,933	6,064	6,592	7,212	7,524	7,421
Reported EBITDA	1,434	1,318	955	1,193	1,229	1,630	1,693	1,645
Adjusted EBITDA (Credit Agreement)	1,373	1,264	1,077	1,287	1,471	1,753	1,852	1,863
Net financial debt (Credit Agreement)	5,725	5,714	5,828	9,191	9,416	8,046	7,759	7,798
Net leverage, Credit Agreement (x)	4.2x	4.5x	5.4x	7.1x	6.4x	4.6x	4.2x	4.2x
Net leverage, reported (x)	4.5x	4.9x	7.9x	8.6x	8.6x	5.6x	5.2x	5.4x
Net secured leverage, Credit Agreement (x)	–	–	–	–	–	2.7x	2.6x	2.7x
Adjusted EBITDA / cash interest (x)	5.8x	8.1x	6.9x	3.7x	2.8x	3.1x	3.5x	3.7x
FCF (CFO – capex – leases)	83	669	199	-499	-208	419	505	523
FCF / gross debt	1.1%	9.5%	2.0%	-4.6%	-1.9%	4.1%	5.2%	5.6%
Liquidity (company)	–	–	–	–	–	1,860	–	2,030

Table 2. Credit metrics. Flows for LTM June 2026 = FY2025 + H1 2026 – H1 2025. Credit-agreement figures are the company's (results releases); reported leverage = balance-sheet financial debt including leases, less cash, divided by EBIT + D&A. Cash interest = interest paid. Sources: SEC XBRL company facts (20-F 2019–2024), FY2025 audited statements, H1 2026 report.

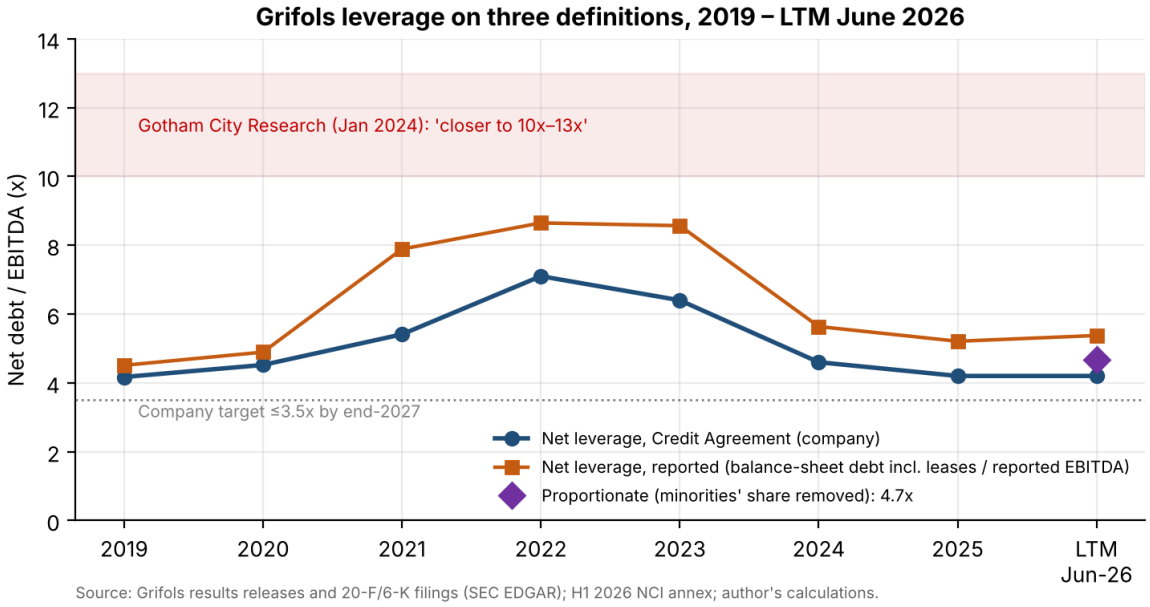


Figure 1. Leverage on three definitions, and the Gotham claim.

Reported EBITDA versus credit-agreement EBITDA

	EUR m
Reported EBITDA (EBIT 1,202 + D&A 443)	1,645
IFRS 16 (lease payments deducted)	-120
Restructuring costs	35
Impairments and others	99
Transaction costs	30
Run-rate cost savings, operating improvements and synergies (next 12 months)	169
Share of profits of associates (core activity)	4
Adjusted EBITDA as per Credit Agreement (company; rounding 1)	1,863

Table 3. LTM June 2026 EBITDA bridge (H1 2026 results annex).

The covenant EBITDA of €1,863m is 13% above reported EBITDA. The biggest add-back is €169m of *run-rate* cost savings and synergies expected over the next twelve months, which is 9% of covenant EBITDA and has not yet been earned. The IFRS 16 deduction (–€120m) is legitimate. It puts leases back as an operating cost, which is why lease liabilities (€1,045m) are left out of credit-agreement net debt. On the reported basis, with leases as debt and no add-backs, leverage is 5.4x rather than 4.2x. That is the right number for comparing Grifols with peers. The bond covenants, however, use the indenture definitions, so the debt-incurrence tests run on the covenant basis.

The Gotham City Research challenge (January 2024)

On 9 January 2024 Gotham City Research claimed that Grifols' leverage was 'closer to 10x–13x', not the ~6x it reported. Gotham had two main points. First, Grifols fully consolidates Haema and BPC Plasma, which are owned by Scranton Enterprises, a vehicle linked to Grifols' founding families. Second, Grifols fully consolidates Grifols Diagnostic Solutions, 45% of which was sold to Shanghai RAAS. So 100% of their EBITDA counted while the minority owners' claims did not show up as debt. Grifols rejected the report (6-Ks, 9–11 January 2024). Spain's market regulator, the CNMV, investigated and in September 2024 opened a sanctioning procedure over financial information and alternative performance measures for 2021–2023 (20-F 2025, Legal Proceedings). Grifols now publishes an annex on non-controlling interest (NCI) contributions, which lets us test the point directly. Removing the minorities' share of credit-agreement EBITDA (€105m) and of net debt (GDS holds a €1,151m receivable from Grifols, so SRAAS's 45% share adds debt) gives **4.7x proportionate leverage**. That is 0.5 turns above the headline 4.2x but far below Gotham's range. Gotham's figures for 2023 are also not comparable with today's: 2022–2023 leverage was genuinely high (7.1x and 6.4x on the company's own covenant basis; 8.6x reported).

3. Covenant summary

	7.125% secured notes due 2030 (indenture 19 Dec 2024)	3.875% unsecured notes due 2028 (indenture 5 Oct 2021)
Ranking	Senior secured, first lien shared pari passu with the term loans and revolver	Senior unsecured; effectively junior to €5.5bn of secured debt
Debt incurrence	FCCR ≥ 2.00x for ratio debt; secured ratio debt only if secured leverage ≤ 4.50x. Credit facilities basket €5.0bn; capital leases $500m	FCCR ≥ 2.00x. Credit facilities basket €4.5bn + €1.0bn; capital leases greater of $500m and 4% of total assets
Restricted payments	Builder: 50% of net income since 2019; unlimited if leverage ≤ 3.75x	Same: 50% builder; unlimited if leverage ≤ 3.75x
Asset sales	Apply proceeds within 365 days; excess > $200m offered at the call price	Apply within 365 days; excess > €300m offered at 100%
Change of control	Put at the call price (104% until Apr 2027); trigger > 35% held by a non-permitted holder or > 50% by the Permitted Holder Group	Put at 101%; same triggers
Call schedule	104% from May 2026, 102% from May 2027, par from May 2028	Par from 15 Oct 2026
Maintenance test	None (revolver only: 7.0x, tested if > 40% drawn)	None
Suspension	Covenants fall away if two agencies rate it investment grade	Same

Table 4. Covenant summary (indentures filed with SEC as exhibit 2.16 to the 2024 20-F and exhibit 2.9 to the 2021 20-F; section references in the Excel model). FCCR = fixed-charge coverage ratio.

For the comparison the covenants matter in three ways. (1) **Priming capacity.** The secured-leverage test (4.50x) and the €5.0–5.5bn credit-facilities baskets mean €5.5bn of secured debt could grow further ahead of the unsecured notes. This is a structural weakness for the 2028s, but only if they are still outstanding when the company is in trouble. (2) **Leakage.** Both indentures allow unlimited dividends once leverage is at or below 3.75x, which our base case reaches in 2027. That money comes out of the equity cushion that protects both bonds, and more so the unsecured. (3) **Change of control.** If one happened, it would pay the secured notes the call price, which is almost exactly their market price, and the unsecured notes 101, which is 3.5 points above theirs. This favours the 2028s.

4. Projections 2026–2028 and the October 2028 maturity

Base case. Revenue is flat in 2026 because of FX (reported revenue –2.8% in H1 2026, +2.6% at constant currency) and grows 5% a year after that. The adjusted EBITDA margin is 25.0% / 25.5% / 26.0%, against guidance of at least 25% in 2026. Capex (including IT and R&D), cash taxes, working capital and other items are held at 2025 levels (€830m a year). Dividends are €128m. Cash interest uses the post-refinancing stack at today's SOFR (3.90%) and Euribor (2.64%): €493m. This gives 2026 FCF before dividends of €558m, inside the company's guidance of €500–575m (pre-M&A). **Downside case.** The brief asks for a margin 300bp lower and plasma cost per litre 10% higher. Grifols does not disclose plasma's share of cost of sales, so the two can only be combined through an assumption. The 300bp cut equals a 10% plasma-cost rise if plasma is 48% of cost of sales (cost of sales was 62.0% of 2025 revenue). We therefore model one 300bp cut, half of it in H2 2026, and treat the two descriptions as the same shock.

	2026	2027	2028
Base: Revenue	7,524	7,900	8,295
Base: EBITDA margin	25.0%	25.5%	26.0%
Base: Adjusted EBITDA	1,881	2,015	2,157
Base: Cash interest	493	493	493
Base: FCF pre-dividends	558	692	834
Base: Net debt (Credit Agreement)	7,329	6,765	6,059
Base: Net leverage (x)	3.84x	3.31x	2.77x
Base: EBITDA / cash interest (x)	3.82x	4.09x	4.38x
Downside: Revenue	7,524	7,900	8,295
Downside: EBITDA margin	23.5%	22.5%	23.0%
Downside: Adjusted EBITDA	1,768	1,778	1,908
Downside: Cash interest	493	493	493
Downside: FCF pre-dividends	445	455	585
Downside: Net debt (Credit Agreement)	7,442	7,115	6,657
Downside: Net leverage (x)	4.15x	3.94x	3.44x
Downside: EBITDA / cash interest (x)	3.59x	3.61x	3.87x

Table 5. Projections (EUR m). Credit-agreement EBITDA = adjusted EBITDA + €27m (the FY2025 difference).

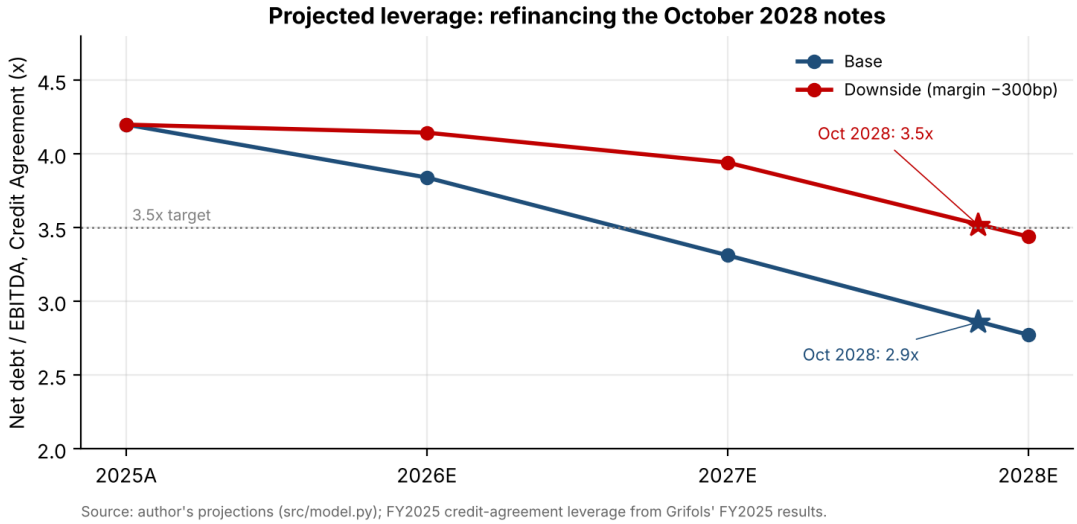


Figure 2. Credit-agreement leverage path; stars mark October 2028.

	Base	Downside
Net debt Oct 2028	6,176	6,734
Credit-agreement EBITDA (LTM Oct 2028)	2,160	1,913
Net leverage Oct 2028 (x)	2.86x	3.52x
Unsecured notes due Oct 2028	2,019	2,019
Cash + undrawn RCF, 30 Jun 2026	1,974	1,974
FCF after dividends, Jul 2026 – Oct 2028	1,622	1,064
Liquidity available before maturity	3,596	3,039
Liquidity / notes due (x)	1.78x	1.51x

Table 6. Position at the October 2028 maturity of the unsecured notes (EUR m). Liquidity = cash and undrawn revolver at 30 June 2026 plus projected FCF after dividends to October 2028.

Can the 2028s be refinanced? Yes, in both cases. Base-case leverage of 2.9x is below the 3.5x target and below the 3.75x restricted-payments threshold, which is consistent with a BB rating. Even the downside case (3.5x) is below the 4.3–4.6x at which Grifols issued the 7.125% notes (December 2024) and refinanced its bank debt (April 2026). Refinancing is also not strictly needed: liquidity of €3,039m in the downside case covers the €2.0bn of notes 1.5x. The revolver's springing maturity (91 days before any unrefinanced material maturity, i.e. mid-July 2028) means Grifols must deal with the notes by then, either from cash and revolver drawings or with new bonds. The main risk is a market shut to high-yield issuers in H1 2028 combined with

an operational shock large enough to use up the revolver. That would also be the default scenario for the recovery analysis.

5. Recovery waterfall (default in 2028)

	EUR m / %
Downside 2028 adjusted EBITDA	€1,908m
Multiple (brief)	6.0x
Enterprise value	€11,447m
Administrative claims (5% of EV, assumption)	€572m
Secured claims: TLB €3,001m + RCF 80% drawn €1,451m + secured notes €2,100m	€6,551m
Secured recovery	100%
Unsecured claims: 2028 notes €2,019m + other financial liabilities €960m (incl. GIC €686m)	€2,979m
Unsecured recovery	100%
Residual to equity	€1,345m

Table 7. Waterfall following the brief. Leases are excluded because adjusted EBITDA is after lease payments.

At 6.0x the enterprise value (€11,447m) covers all secured and unsecured claims, so **both bonds recover 100%**. The brief's case is generous to creditors: a company that actually defaults has usually lost more EBITDA than our downside assumes, and distressed sale multiples are lower than going-concern ones. Figure 3 shows how recovery depends on the multiple. Secured creditors are covered down to 3.61x and the unsecured notes down to 5.26x. Below that, the unsecured notes lose principal quickly because €6,551m of secured claims (with the revolver 80% drawn) sit ahead of them.

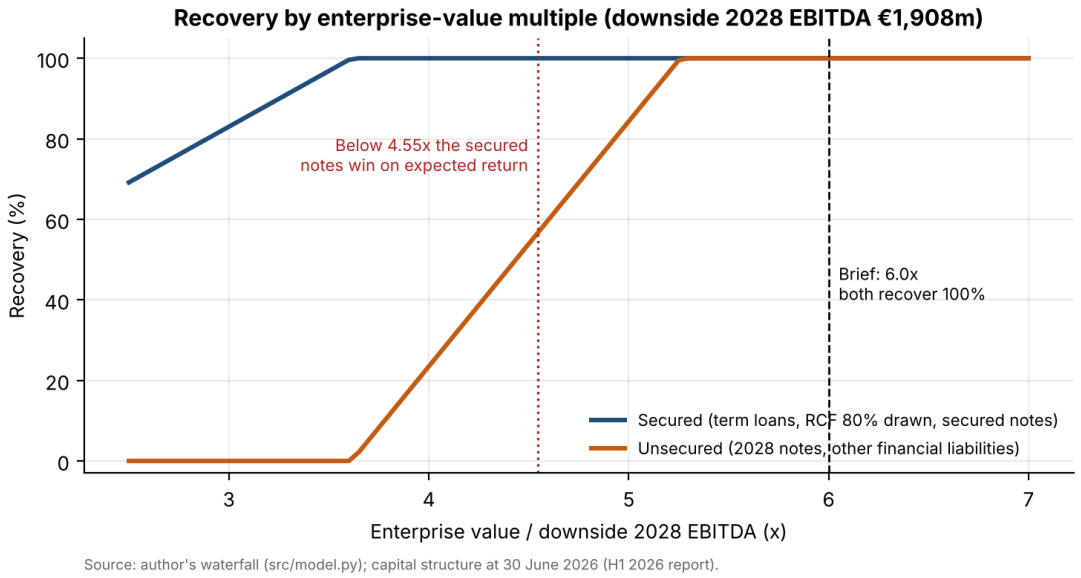
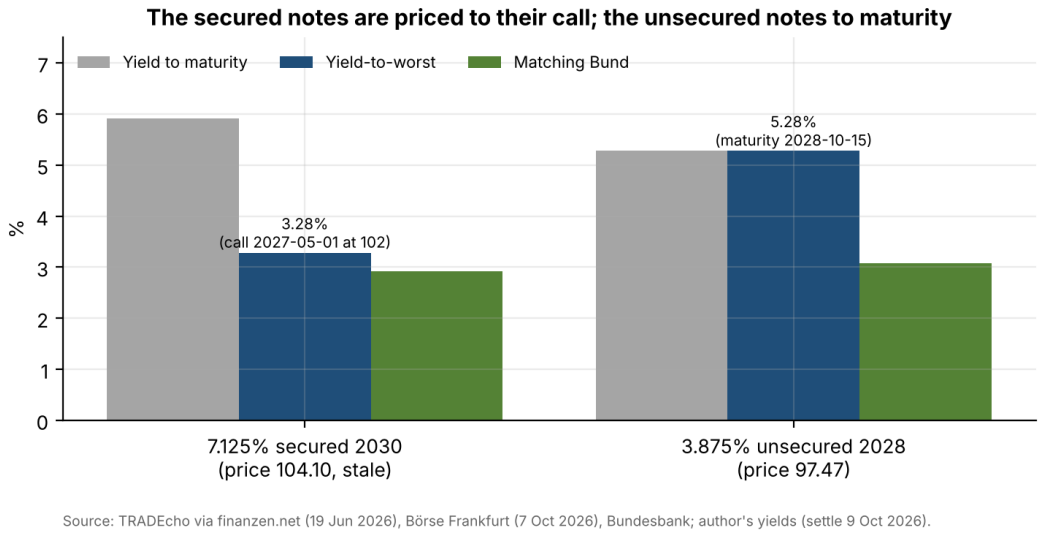


Figure 3. Recovery by enterprise-value multiple; at 6.0x both recover in full.

6. Relative value

	7.125% secured 2030	3.875% unsecured 2028
Price	104.10	97.47
Yield to maturity	5.92%	5.28%
Yield-to-worst	3.28%	5.28%
Worst date	call 2027-05-01 at 102	maturity 2028-10-15
Bund, matching maturity (Bundesbank Svensson)	2.92%	3.07%
Spread over Bund	36bp	221bp
Net leverage through the tranche	2.65x	4.19x
Spread per turn of leverage	14bp	53bp
Recovery (6.0x waterfall)	100%	100%
Default probability: S&P BB-, 3-year cumulative (1981–2024)	4.62%	4.62%
Expected loss = PD × (1 – recovery)	0.00%	0.00%
Expected return = YTW – expected loss	3.28%	5.28%

Table 8. Relative value at settlement 9 October 2026. Gap = -200bp in favour of the unsecured notes. For reference, the ICE BofA Euro High Yield index OAS was 3.15% on 2026-10-06.



Source: TRADEcho via finanzen.net (19 Jun 2026), Börse Frankfurt (7 Oct 2026), Bundesbank; author's yields (settle 9 Oct 2026).

Figure 4. Yield to maturity, yield-to-worst and the matching Bund for each bond.

Reading the numbers. Per turn of leverage the unsecured notes pay 53bp against 14bp for the secured notes. Their spread of 221bp over a two-year Bund is below the euro high-yield index (315bp), which is reasonable for a short BB-/B bond that can be repaid from liquidity. The secured notes' spread to their worst date (36bp) is very thin because the price is pinned near the call price. If they were never called, their 5.92% yield to maturity would beat the unsecured notes. But Grifols has every reason to call a 7.125% coupon once the price reaches 102 (May 2027): its new euro term loan costs Euribor + 3.00% (about 5.6%).

What would change the call

- **A lower secured price.** At 103.26 the gap falls to –50bp (neutral) and at 102.83 it is zero. A current executable price is the first thing to get. The last print is 3.5 months old and the notes are callable today at 104.
- **A lower recovery multiple.** At 4.72x the result is neutral, and below 4.55x the secured notes win. That needs a distressed sale value 25% below the brief's 6.0x on already-reduced downside EBITDA.
- **Issue-level default risk.** The brief uses one issuer PD (BB-) for both bonds, as S&P's methodology does. S&P's lower unsecured issue rating (B) reflects recovery, which the waterfall already captures, so a separate PD would double-count.
- **Duration.** The unsecured notes run to October 2028; the secured notes will most likely be called in 2027. A holder of the secured notes faces reinvestment risk; a holder of the unsecured notes takes 1.5 more

years of Grifols risk. That risk falls if the deleveraging plan is delivered.

7. Risks and limitations

- **Stale price.** The 7.125% and 7.5% 2030 notes trade over the counter. The only free prices are TRADEcho prints from 19 June and 19 May 2026 (finanzen.net). Börse Frankfurt, the brief's source, has no page for these ISINs. The recommendation should be re-run with a dealer quote.
- **Plasma cost.** The downside treats '–300bp margin' and '+10% plasma cost per litre' as one shock, because the plasma share of cost of sales is not disclosed. If plasma is more than 48% of cost of sales, a 10% rise costs more than 300bp.
- **Governance.** The Gotham episode, the founding families' related-party structures (Scranton) and the CNMV review remain overhangs. Proportionate leverage (4.7x) is the better measure of what creditors are owed against.
- **Assumptions held flat.** Capex, taxes, working capital and dividends are held at 2025 levels, and base rates at today's level. Interest does not fall as debt is repaid, which is conservative.
- **Default rates.** S&P's 2025 study is not freely available, so the PD comes from the 2024 study (1981–2024 average, BB- 3-year 4.62%).
- **Recovery.** The waterfall is simplified. It ignores structural subordination between subsidiaries, collateral gaps (e.g. assets in China and Germany outside the security package) and the GIC liability's ranking.

Sources. Grifols 20-F 2019–2025 and 6-K results releases (SEC EDGAR); indentures (20-F exhibits); H1 2026 interim report and results presentation; Grifols fixed-income page (ratings, 7 Oct 2026); Börse Frankfurt (XS2393001891); finanzen.net (XS2961445090, XS2805351843); Bundesbank yield curve (BBSIS); FRED (BAMLHE00EHYIOAS, SOFR, DEXUSEU); ECB (3-month Euribor); S&P 2024 Annual Global Corporate Default and Rating Transition Study. Model: model/grifols_credit_model.xlsx.